

The impact of happiness on managers' contextual and task performance

Peter Hosie *Curtin University, Australia*

Michael Willemyns *University of Wollongong in Dubai, UAE*

Peter Sevastos *Curtin University, Australia*

The 'happy-productive worker thesis' has long intrigued organisational researchers and practitioners. Despite mixed empirical evidence from decades of research, there is support in the literature for this thesis. An account is provided on a variation on the enduring debate of the happiness-productivity theme, to support an emerging 'happy-performing managers proposition'. An empirical study is presented to establish the dimensions of managers' job happiness (operationalised as affective well-being and intrinsic job satisfaction) associated with contextual and task performance. The emphasis was on investigating an aspect of human behaviour with the potential to enhance managerial performance. These findings inform the broader debate on what determines the job performance of managers.

Keywords: affective well-being, contextual and task performance, happy-productive worker, intrinsic job satisfaction, job-related

Key points

- 1 Support was found for an emerging 'happy-performing managers proposition'.
- 2 Certain trait and state indicators of affective well-being predict dimensions of managers' intrinsic job satisfaction on contextual and task job performance.
- 3 Managers' jobs might be improved to enhance, or avoid decline in their affective well-being, intrinsic job satisfaction and performance.

In the new millennium happiness in the workplace is well and truly back in vogue. There has been a veritable explosion of research into happiness, optimism and positive character traits (Bagnall 2004; Lyubomirsky, King and Diener 2005). In the twenty-first century, effective managers' performance is even more central to the success of organisations (Argyle 2001; Barsade, Brief and Spataro 2003; Bruni 2005; Layard 2005). So what is driving this surge of interest into employees' and managers' job happiness and performance?

Correspondence: Dr Peter Hosie, Curtin Business School, Curtin University, GPO Box U1987, Perth, Western Australia 6845; e-mail: Peter.Hosie@cbs.curtin.edu.au

Accepted for publication 6 February 2012.

There has long been an adherence among practitioners and academics for the intuitively appealing notion that happy employees perform better compared to their miserable counterparts. Support for this thesis is based on the belief that happy employees are believed to exhibit superior job performance. Proponents of this view are convinced that 'a happy worker is a good worker' (Katzell and Thompson 1995, 111). 'Lay' people tend to believe in the 'happy-productive worker thesis' (Wright and Staw 1999b) or the 'happy-worker hypothesis' (Lucas and Diener 2003) despite the indifferent evidence supporting this supposed relationship (Fisher 2003).

Decades of research have failed to establish a compelling empirical relationship between employees' job satisfaction and performance (Cropanzano and Wright 2001). A consistent link between happiness (when operationalised by job satisfaction) and job performance remains elusive (Wright 2005). Notwithstanding the lack of empirical evidence, the notion that happy workers are more productive is firmly entrenched in management ideology (Cropanzano and Wright 2001; Ledford 1999; Wright and Staw 1999a, b; Wright et al. 2002).

The bulk of research into the satisfaction-performance nexus has been directed to employees in general but not specifically to managers. There is a dearth of research on the specific link between managers' happiness and performance, with the exception of work by Staw and Barsade (1993) and Wright, Cropanzano and Bonnett (2007). Findings on the relationship between employee job satisfaction-performance may also apply to managers, who are invariably 'employees' in some form. How do managers' jobs differ from other employees' jobs? Scott (1992, 278) distinguished managers' behaviour from that of non-managers: 'Managers decide, performers implement; managers command, performers obey [sic]; managers coordinate, performers carry out specialised tasks'.

A seminal question in organisational behaviour and human resource management is examined in this study – do happy managers perform better? Specifically the main goal of the research was to explore the impact of job-related affective well-being ('affective well-being') and intrinsic job satisfaction on managers' contextual and task performance ('managers' performance'). An empirical study is presented to establish which aspects of Australian managers' job happiness are associated with their performance. A variation on the enduring happiness-productivity theme, the evolving 'happy-performing managers proposition' was empirically determined. We investigated the proposition that indicators of managers' affective well-being and intrinsic job satisfaction (both important aspects of happiness) predict specific aspects of contextual and task performance.

The second part of this article examines the implications of these findings on the 'happy-performing managers proposition' for human resource management practices. From a broader perspective this study is also intended to contribute to the wider debate over what determines human performance at work. We begin by positioning this research within the extant literature on the 'happy-productive worker thesis'. The nature of happiness and the philosophical roots of affect are explored and compared to contemporary understandings of the phenomenon. Finally, a critique is undertaken of the global economic pressures impacting on managers' happiness at work.

Origins of the 'happy-productive worker thesis'

Hersey (1932) was likely the first researcher to demonstrate a definite relationship between emotional state and productivity in the workplace (Weiss and Cropanzano 1996). Hersey's research represented a seminal investigation into emotions and performance in the workplace which coincided with the Hawthorne studies (Roethlisberger and Dickson 1939) and Hoppock's (1935) research into job satisfaction. The origins of the 'happy-productive worker thesis' can be traced to the Hawthorne studies, where higher levels of job-related performance were attributed to happy employees compared to their unhappy counterparts. Research into emotions and affect in the workplace were initiated and peaked in the 1930s (Fisher and Hanna 1931; Kornhauser and Sharp 1932).

Studies from the 1930s onwards found only modest support for the link between employee satisfaction and improved job performance (Organ and Paine 1999). Belief in the 'happy-productive worker thesis' also has its roots in the Human Behaviour School of the 1950s (Coyle-Shapiro, Kessler and Purcell 2004). Improving employee morale was supposed to result in higher productivity. Proponents of the 1970s Human Relations Movement had a significant influence on job redesign and quality-of-life initiatives through Herzberg, Mausner and Snyderman's (1959) classic work which was credited with specifying the original job satisfaction-performance relationship (Coyle-Shapiro, Kessler and Purcell 2004; King and Peter 1993; Perrow 1986). In the 1970s, the perceived direction of the causal relationship was reversed; employees who performed better were expected to be more satisfied because they received greater rewards (Lawler and Porter 1967) and possess higher self-efficacy (Bandura 1996).

Interest in the 'happy-productive worker thesis' plateaued in the intervening decades, until it was revived in the mid-1980s and 1990s (Brief and Weiss 2002). From the 1990s onwards there has been an avalanche of research into emotions and affect in organisations. Barsade, Brief and Spataro (2003) were even moved to announce that an 'affective revolution' had occurred in industrial and organisational psychology. Notwithstanding this renewed interest, evidence to support the proposition that happy employees, or in this case managers, perform better is still not compelling as subsequent research has only found modest support for this predicted relationship.

Earlier, Fisher (1980) questioned the wisdom of expecting job satisfaction to correlate with performance. Later, a sophisticated meta-analysis by Judge et al. (2001) found a true mean correlation of 0.30 between job satisfaction and performance. A re-conceptualisation of the job satisfaction-performance relationship was recommended by Judge and colleagues as job satisfaction did seem to predict a large amount of the variance of job performance. Perhaps at issue in the search for the satisfaction-performance link is the undifferentiated use of job satisfaction as a predictor of job performance. That is, job satisfaction can be meaningfully separated into intrinsic (affective focus) and extrinsic (cognitive focus) satisfaction.

Prior to Judge et al.'s (2001) findings, Wright and Staw (1999a, b) had rekindled the debate over whether happy workers are also more productive. They found mixed support

for the happy-productive worker thesis but concluded that 'the dispositional measure of affect is a more successful predictor of rated performance' (1999a, 11). Assessments of dispositional affect were found by others to provide a closer fit for individual based measures of performance than did measures of affective state or mood (Cropanzano, James and Konovsky 1993; Cropanzano and Wright 1999, 2001; Wright and Staw 1999a, b).

This view also found support in a study by Staw and Barsade (1993). After controlling for the effects of general mental ability, age, gender, and years of work experience, dispositional Positive Affect (PA) was found to predict managerial performance (decision-making and interpersonal behaviour), and overall managerial potential, supporting the hypothesis of the 'happier-and-smarter' manager. In the same vein, Wright, Cropanzano and Bonnett (2007) found an association between job satisfaction and psychological well-being on supervisory performance ratings. Further, positive employee well-being was found to moderate the relationship between job satisfaction and performance. Ilies and Judge (2003) considered trait affectivity as a more important predictor of organisational performance than job satisfaction, because of its stability over time, as opposed to the situational determinants of job satisfaction.

These investigations all had methodological limitations including small samples, an unclear differentiation between manager and employee roles, lack of self and rater congruence, and not distinguishing between managers' contextual and task performance.

Any conceptualisation of affective well-being logically begins by exploring the philosophical roots and nature of 'happiness' in the workplace.

Happiness

Classical philosophers have contemplated the authentic nature of happiness for centuries. Happiness is arguably fundamental to the human condition, being the natural state for a human being (Domeyko 1996). Affective well-being has its philosophical and theoretical foundations in the concept of happiness (Haybron 2003). The word 'happy', one of the most obscure expressions in the English language, is 'characterised by or indicative of pleasure, content, or gladness' (Delbridge et al. 1996, 801). Numerous journal articles and books continue to pursue this most fundamental and elusive quality of human meaning. Some contend that 'the secret of happiness is the holy grail of the new millennium' (Bagnall 2004).

Happiness is related to emotional states like hopefulness, optimism and contentment. The empirical nature of contemporary definitions of happiness originated with Bradburn (1969) and colleagues' research. Although some ambiguity remains as to whether happiness is an emotion (i.e. joy), a cognitive evaluation (i.e. satisfaction), or a combination of both (Argyle and Martin 1991), the majority of studies treat 'happiness' as an emotional state.

Job satisfaction

Job satisfaction is a multidimensional construct that is strongly influenced by disposition and mood. It has been established as an important contributor to mental and psychological

health problems in the workplace (Faragher, Cass and Cooper 2005). Others have suggested that job satisfaction is the positive emotional reaction *and* cognition a person has towards the job (Oshagbemi 1991). Consistent with this view is Locke's (1976, 1299) classic definition of job satisfaction as 'a pleasurable or positive emotional state resulting from the appraisal of one's job or job experience'. Intrinsic job satisfaction refers to the internal state associated with characteristics inherent in a job, such as utilisation of skills, amount of job complexity and opportunities for control, amount of responsibility, and challenges (Clark, Oswald and Warr 1996).

Figure 1 illustrates the affective space in well-being research by integrating Russell's (1980), Russell and Feldman Barrett's (1999), Warr's (1994), and Watson and Tellegen's (1985) conceptualisations of affect. Although the even spacing of the affect descriptors around the circumference is not a necessary condition for the model, the requirement that the affects are equidistant from the centre of the circle is essential (Russell and Feldman Barrett 1999).

Warr argued that when measuring job satisfaction 'no consideration is taken of level of arousal' (Warr 1986, 163). This implies that job satisfaction, shown on the horizontal axis as a 'pleasure–misery' dimension in Figure 1, captures mainly cognitions, while anxiety–contentment and depression–enthusiasm capture affect. Sevastos (1996) has demonstrated that there is a substantial overlap between intrinsic job satisfaction scales and affect scales, indicating they are not exclusively cognitive evaluations of a person's working

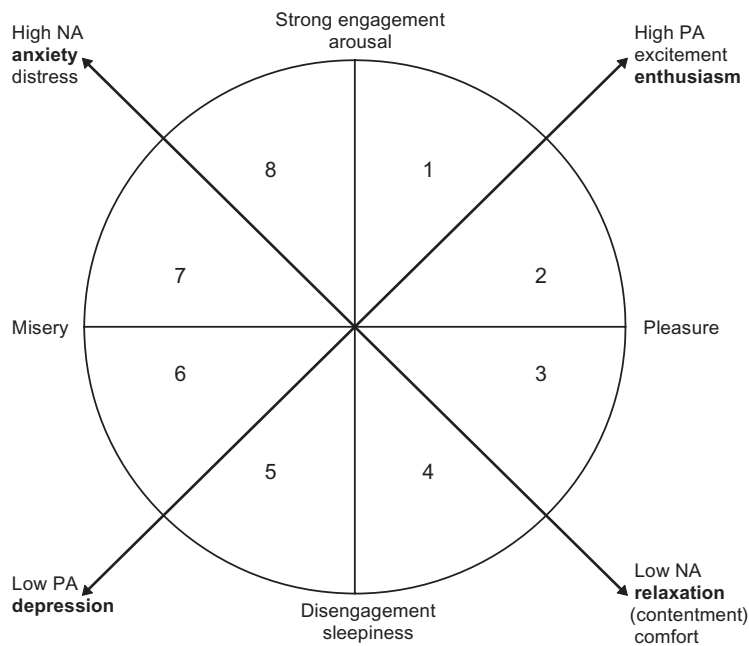


Figure 1 Principal axes of affective well-being space
Source: Sevastos (1996, 12).

environment. Notably (intrinsic) job satisfaction and affective well-being have not been concomitantly operationalised when using job-related happiness as a predictor of job performance (Wright, Cropanzano and Bonnett 2007).

Managers' job performance is not normally conceived and measured in relation to affective well-being and intrinsic job satisfaction. Furthermore, the construct 'managers' job performance' has not been robustly measured, making associations between these constructs problematic, partly due to conceptual misspecification and the use of inadequate research methodologies.

Managers' contextual and task performance

Despite the extensive research into the construct 'job performance', there 'appears to be no instrument available to tap job-related competence ... for both shop-floor and managerial employees' (Warr 1992, 11). No suitable validated measures of managers' performance were identified in the literature, necessitating the development of an instrument to measure the structure of managers' contextual and task performance. Attempts to identify a unidimensional general factor that reflects managers' performance have generally failed due to lack of a common framework for considering the underlying dimensions of the performance requirements of managers' jobs. Managers' performance can be conceived of in terms of observed behaviour to simplify the appraisal process and obviate the need for psychological tests of underlying skills and traits. In addition, performance ratings based on observed behaviour are less controversial and more robust (Barrick and Mount 1993).

When conceiving of and measuring managers' job performance, there is merit in distinguishing between their contextual and task performance (Borman and Brush 1993; Borman and Motowidlo 1997; Motowidlo, Borman and Schmit 1997). Both domains of performance contribute to accomplishing organisational goals, but through different mechanisms. Managers' performance mainly constitutes task performance, defined as the 'effectiveness with which job incumbents perform activities that contribute to its technical core either by directly implementing a part of its technological process, or by providing it with needed materials or services' (Motowidlo, Borman and Schmit 1997, 72). Conversely, contextual performance deals with the psychological linkages between people and is represented by discretionary forms of contributions to the organisation that have uncertain or indirect rewards compared to task performance (Borman and Brush 1993; Borman and Motowidlo 1993).

Importance of the 'happy-performing managers proposition'

Beyond task performance

Individual task performance captures only a portion of what managers contribute to organisations. This portion of managers' performance is mainly attributed to the knowledge, skills, abilities and experiences of managers. Contributions beyond task performance may be more accurately termed as discretionary (contextual) behaviour. These behaviours

contribute to organisational effectiveness and go beyond 'soft' psychology, or 'humanistic' concerns to become a critical part of the managers' contribution. Unfortunately, as Barnard (1938, 5) observed, 'successful cooperation in, or by formal organisations, is the abnormal, not normal condition', so:

perhaps the reason for the dearth of explanatory power of the 'softer' side of I/O psychology in the study of performance has not been because it is too soft, but that our dependent variable, 'performance', has been too hard. (Organ and Paine 1999, 338)

Incorporating the hard aspects of organisational existence with the less tangible soft dimensions has the potential to improve the interconnections between managers and employees. Hard control in management can be augmented with soft control as well as self-discipline emanating from individual empowerment and individual autonomy.

Soft skills, such as inspiring employees and generating commitment, are more difficult to master and sustain than the hard skills associated with strategic and operational business planning (Ulrich 1997). Since managers attain organisational conjunction with people the capacity to transmit mass joy or angst is therefore magnified. As the old adage goes, depressed people make themselves miserable and neurotic people make others miserable. By integrating 'soft' or less tangible aspects of managers' performance with 'hard' aspects of management, this research explored how affective well-being and intrinsic job satisfaction of managers are relevant to the attainment of personal and organisational performance outcomes.

Based on gaps in the literature, a series of research questions underscoring the main goal of the research were developed to establish the extent that affective well-being and intrinsic job satisfaction determine different dimensions of managers' contextual and task performance; and whether positive affective well-being results in enhanced managers' performance, and whether poor affective well-being is detrimental to managers' performance. In addition, two further questions about practical outcomes are addressed: How might managers' jobs be changed to enhance, or prevent a decline in affective well-being and therefore happiness? How may these findings be integrated with workplace initiatives to improve the quality of managers' job performance?

Methodology

A partial model of managers' affective well-being, intrinsic job satisfaction and performance (the 'Partial Model') was developed from the literature to test the impact of a specific set of independent variables (affective well-being, intrinsic job satisfaction) on managers' contextual and task performance as shown in Figure 2.

Causality issues

While Lyubomirsky, King and Diener (2005, 842) surmised that happiness-as-cause is a viable model, rather than the opposite, this should not be taken to infer causality between these dimensions. Côté (1999) concluded that there is a bidirectional causal relation

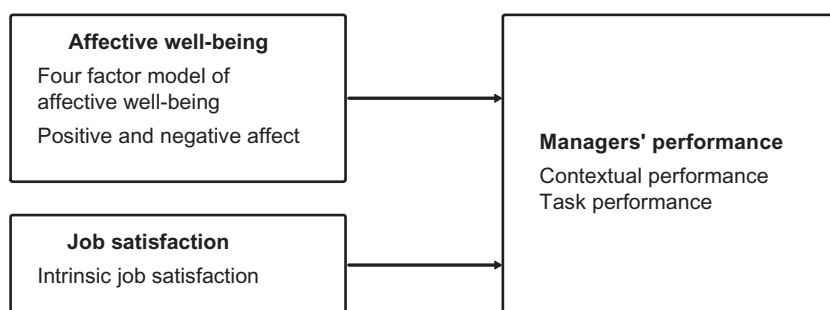


Figure 2 Partial model of managers' affective well-being, intrinsic job satisfaction and performance

between pleasant affect and strong job performance. Affective well-being and job performance may be linked in a reciprocal framework of relationships, with each set of factors iteratively influencing the other across time (Warr 1987). Taken together, a variety of sources of evidence suggest that positive affect leads to certain outcomes, such as job performance, rather than simply being caused by positive affect.

A questionnaire was administered to 19 Australian organisations to collect cross-sectional data to answer the research questions to test the Partial Model. Data were collected using a convenience sample and self-report measures of affective well-being and intrinsic job satisfaction, and downward appraisal of managers' performance (by their managers). A selection of private, public and 'third sector' organisations was surveyed, representing managers from a range of occupational groups. A total of 400 useable questionnaires (200 managers self-report and 200 superiors' rating of managers' performance) were returned from the 1552 questionnaires distributed, representing a 26% useable response rate.

Eighty per cent of respondents were male in the 35–54 age bracket. The majority of respondents were middle-aged married males with a mean age of 44.67 years, who had worked for 11.26 years as a manager, and 6.01 years with their current organisation. Results of analyses of the sample characteristics indicated minimal differences between the demographics of the managers in the multisample.

Questionnaire items were derived from established affective well-being and job satisfaction scales with psychometrically robust measures of dispositional and state affect that are suitable for predicting managers' contextual and task performance: the Positive and Negative Affective Schedule – PANAS (Watson and Clark 1984); the Four Factor Model of Job-related Affective Well-being (Sevastos 1996) and Intrinsic Job Satisfaction (Cook et al. 1981). In particular, the scales were theoretically congruent with the notion of 'happiness' (Sevastos 1996; Warr 1994, 2007).

Scales capturing the two high poles of affect have been developed by Watson, Clark and Tellegen (1988). PANAS defines Positive Affect (PA) with such items as 'enthusiastic', 'interested', 'determined', etc., and Negative Affect (NA) with items such as 'scared', 'afraid', 'upset', etc. According to Watson, Clark and Tellegen the opposite of high PA ('enthusiastic', 'elated',

etc.) is low PA ('sluggish', 'sleepy', etc.), while the opposite of high NA ('hostile', 'scornful', etc.) is low NA ('calm', 'relaxed', etc.). In this orthogonal conceptualisation of affect only the high poles represent the experience of affect per se, while the low poles represent states that are relatively free of emotional involvement (Watson 1988).

The Four Factor Model of Affective Well-being scale taps the low activation and arousal affect space representing hedonic tone using the Enthusiasm factor (i.e. 'enthusiastic', 'motivated', 'optimistic' items) and the Relaxation factor (i.e. 'calm', 'restful' and 'relaxed' items). Including this scale addressed Wright and Staw's (1999a) criticism of PANAS by providing a state measure of affect, which denotes hedonic tone in addition to activation that is suitable for predicting job performance.

Given the inadequacy of instruments available to measure managers' performance, there was a compelling case for developing an instrument based on Borman and Motowidlo's (1997) contextual taxonomy and Borman and Brush's (1993) task taxonomy. Thus, managers' performance items were developed from the literature, and incorporated items designed to measure both contextual and task performance domains. Subscale items were also developed to measure 'Judgement' (Cialdini 1993; Mintzberg 1980, 2004) and 'Organisational Effectiveness' (Quinn et al. 1996) (see Table 1). Additional items were adapted from Organisational Citizenship Behaviour measures for the five contextual performance subscales (Organ and Ryan 1995; Podsakoff et al. 1990).

Results

An eight-dimensional measurement model of managers' performance was tested through confirmatory factor analysis, using multisample analysis, to differentiate the structure of managers' contextual and task performance. Cross-validation of self and superiors' ratings found managers' performance to be a multivariate construct consisting of both contextual and task performance (see Hosie, Sevastos and Cooper 2006). Superiors' ratings of managers' performance were found to be a more reliable measure of managers' performance than self-report.

The managers' job performance construct was found to consist of four contextual dimensions ('Endorsing', supporting and defending organisational objectives; 'Helping' and co-operating with others; 'Persisting' with enthusiasm and extra effort to complete task activities successfully; 'Following' organisational rules and procedures) and four task dimensions ('Monitoring' and controlling resources; 'Technical' proficiency; 'Influencing' others; and 'Delegating' to others).

Alpha coefficients were calculated for each scale and subscale in the questionnaire, to decide which items to delete, modify, and check for congruence with the underlying dimensions as indicated in Table 2. An internal reliability of ≥ 0.7 is acceptable for most psychological scales, which may be reduced to 0.6 in factor analysis (Hair et al. 1995). However, a value of < 0.5 is usually considered unacceptable (Cronbach 1984).

Using two independent sources of information, one for the dependent variables (DV) (i.e. one-to-one supervisory ratings of managers' performance) and the other for the

Table 1 Summary of concepts, constructs, dimensions, and measures

Constructs	Dimensions	Measures
Positive affect Negative affect	Interested, distressed, excited, upset, strong, guilty, scared, hostile, enthusiastic, proud, irritable, alert, ashamed, inspired, nervous, determined, attentive, jittery, active, afraid	20-item Positive and Negative Affect Schedule (PANAS) (Watson and Clark 1984)
Enthusiasm Depression Anxiety Relaxation	Gloomy, calm, anxious, enthusiastic, motivated, worried, restful, tense, depressed, optimistic, relaxed, miserable	12-item Four Factor Model of Affective Well-being (Sevastos 1996; Warr 1990)
Intrinsic job satisfaction	Utilisation of skills, amount of job complexity and opportunities for control, amount of responsibility and challenges	7-item subscale (Cook et al. 1981)
Managers' contextual performance	Persisting, volunteering, helping, following, endorsing	Author devised 22-item scale of managers' contextual performance developed from Borman and Motowidlo's (1997) 5-dimension taxonomy. Items were derived from Konovsky and Organ (1996), Organ and Lingl (1995), Borman and Brush (1993), Podsakoff et al. (1990)
Managers' task performance	Planning, guiding, training, communicating, representing, technical, administrating, maintaining, coordinating, deciding, staffing, persisting, stressing, committing, monitoring, delegating, influencing, interpreting, organisational effectiveness	Author devised 75-item scale of managers' task performance developed from Borman and Brush (1993) 18-dimension taxonomy

independent variables (IVs) (i.e. managers' self-report measures of affective well-being and intrinsic job satisfaction), eliminated unnecessary noise in the data caused by common method variance. Canonical correlation and standard multiple regression were used to determine the linear combination of managers' self-reported affective well-being and job satisfaction with superiors' ratings of managers' performance. Evidence from the standard multiple regressions indicated which dimensions of affective well-being and intrinsic job satisfaction predicted dimensions of managers' contextual and task performance.

Two orthogonal variants explained the association between these dimensions. The most important variables identified through the two regression analyses contributed more than 1% of unique variance.

Table 2 Alpha coefficients and items for affective well-being, intrinsic job satisfaction and performance scales and subscales

Construct	Scale/subscales	Items	α
PANAS	Positive affect (PA)	10	.89
	Negative affect (NA)	10	.87
Four factor model of affective well-being	Enthusiasm (Enth)	3	.90
	Depression (Dep)	3	.83
	Anxiety (Anx)	3	.80
	Relaxation (Relax)	3	.84
	Intrinsic job satisfaction (InJS)	7	.85
Contextual performance	Persisting (Persist)	4	.84
	Helping (Help)	3	.79
	Following (Foll)	4	.83
	Endorsing (End)	5	.88
Task performance	Technical (Tech)	4	.91
	Monitoring (Mon)	4	.93
	Delegating (Del)	4	.84
	Influencing (Inf)	4	.90

N = 200.

Note: see brackets for variable abbreviations used in Figure 3. Significant variables are in **bold**.

The first canonical variates explained 31.25% (multiple $R = 0.559$) of the variance of performance and the second canonical variate explained 21.16% (multiple $R = 0.460$) of the variance of performance. Superiors' ratings of performance were related to trait affectivity (PA, $\beta = 0.330$, 4.76% unique variance) and intrinsic job satisfaction ($\beta = 0.449$, 11.23% unique variance), were statistically significant ($p < 0.01$, and $p < 0.001$ respectively), and accounted for substantial unique variance. When the DVs were the composite of managers' self-ratings of intrinsic job satisfaction and affective well-being and IVs the performance dimensions, Influencing was the only statistically significant predictor (Influencing, $\beta = 0.359$, 5.94%, unique variance, $p < 0.005$). The stronger well-being component was intrinsic job satisfaction ($p < 0.001$), and there was a positive and strong association with the task performance variable Influencing ($\beta = 0.359$, 5.94% unique variance, $p < 0.005$).

As anticipated by Judge et al. (2001), intrinsic job satisfaction was found to be associated with performance. Affective well-being (PA) and intrinsic job satisfaction were positively associated with a dimension of superiors' report on task performance (Influencing) as shown for the first canonical variates in Figure 3. Affective well-being (PA, Anxiety and Relaxation) was positively associated with dimensions task performance (Monitoring) and contextual performance (Following). PA, Anxiety and Relaxation were also negatively associated with a task performance dimension (Technical). Contextual and task performance variables could also be considered as significant predictors for PA. The Partial Model was refined into two orthogonal dimensions of affective well-being, intrinsic job satisfaction and performance as illustrated in Figure 3.

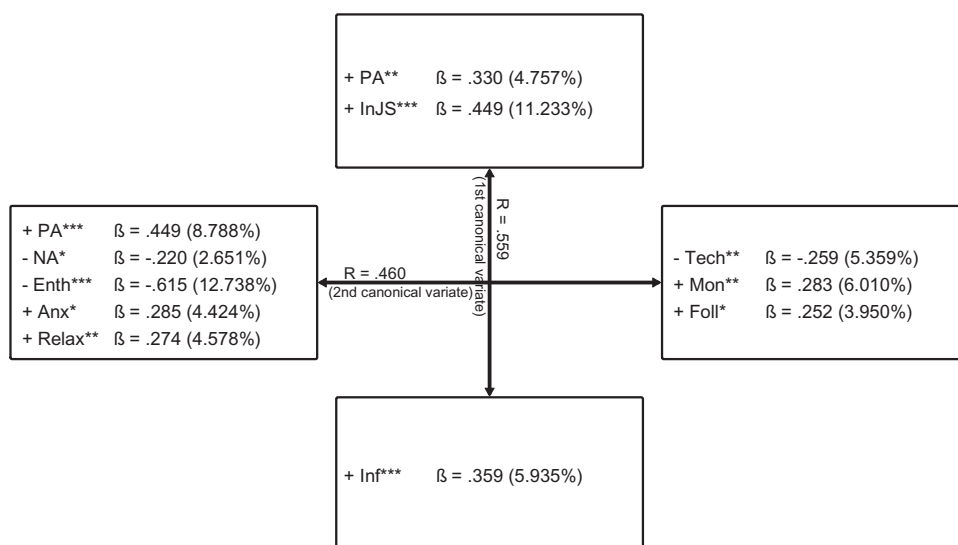


Figure 3 Two orthogonal variants on managers' affective well-being, and performance
 Note: * $p \leq 0.05$; ** $p \leq 0.01$; *** $p \leq 0.001$. See Table 2 for variable abbreviations used in Figure 3.

For the second canonical variates, the well-being components were PA ($p < 0.001$), NA ($p < 0.05$), and negative Enthusiasm ($p < 0.001$), Relaxation ($p < 0.01$), and Anxiety ($p < 0.05$). Superiors' ratings of performance were related to affective well-being (PA, $\beta = 0.449$, 8.788%; NA, $\beta = -0.220$, 2.651%; Enthusiasm, $\beta = -0.615$, 12.738%; Anxiety $\beta = 0.285$, 4.424%; and Relaxation $\beta = 0.274$, 4.578%). When the DV was the composite of managers' self-ratings of intrinsic job satisfaction and affective well-being and IVs the performance dimensions, the only statistically significant contextual performance variable was Following ($\beta = 0.252$, 3.950%). From the task performance variables, only Monitoring ($\beta = 0.283$, 6.010%) and Technical ($\beta = -0.259$, 5.359%) reached statistical significance. PA was the only variable to be highly significant (PA, $\beta = 0.449$; 8.788%; PA, $\beta = 0.330$, 4.757%) respectively for the first and second performance canonical variants.

All variables except Depression (an affective well-being variable associated with low activation) were significant and contributed considerable unique variance in the relationship with the task performance variable Technical ($\beta = -0.259$, 5.36% unique variance), Monitoring ($\beta = 0.283$, 6.01% unique variance) and the contextual performance variable Following ($\beta = 0.252$, 3.95% unique variance).

The negative association of the performance second canonical variates with Enthusiasm may be explained with reference to the low motivating potential of the work components of the performance dimension (i.e. work performance requiring auditing tasks, following of rules and procedures, and low levels of technical expertise). This makes intuitive sense as managers are unlikely to be motivated by routine tasks.

A complex set of relationships in the second canonical variate was evident. High arousal (positive PA with negative NA) was present, but the job dimensions were not particularly motivating (as indicated by negative Enthusiasm but positive Relaxation). Again, this finding indicates that managers will experience arousal but low distress when undertaking routine administrative or transactional roles. PA, Anxiety and Relaxation were positively associated with the task performance variable Monitoring, and the contextual performance variable Following, but negatively associated with the task performance variable Technical. NA and Enthusiasm were negatively associated with Technical, Monitoring and Following, indicating a level of 'disengagement' with low level tasks. PA is an 'activation-based' affect that was positively associated with the task performance variable, Influencing. Managers with PA are likely to experience elevated anxiety, but have opportunities for relaxation when undertaking Monitoring and Following work.

As anticipated, positive affective well-being was found to result in enhanced managers' performance, and poor affective well-being to be detrimental to managers' performance. Consistent with earlier findings by Warr (1992), those in higher level jobs (e.g. managers) reported less job-related depression, but significantly more job-related anxiety. PA was found to be a significant predictor of task and contextual performance, supporting George and Brief's (1996) argument that PA (one of the indicators of extraversion) is related to distal and proximal measures of motivation. From this perspective, positive moods are seen as leading to higher expectancies due to their effect on processes such as judgment (George 1996). In particular, positive mood is capable of influencing actual task specific behaviours (proximal motivation) through stimulating employee self-monitoring behaviour.

As predicted, positive affective well-being and intrinsic job satisfaction were related to enhanced managerial performance while poor affective well-being was related to reduced performance. Positive associations for dimensions of affective well-being self-report (PA, Anxiety and Relaxation) were found to be negatively associated with dimensions of superiors' report on task performance (Monitoring) and contextual performance (Following).

Affective well-being self-report (PA, Intrinsic Job Satisfaction) was found to be positively associated with a dimension of superiors' report on task performance (Influencing). PA and intrinsic job satisfaction are strongly associated with Influencing. Thus, PA may enable managers to influence decisions. Intrinsic job satisfaction has a substantial cognitive component and is therefore likely to impact on cognitive (task) performance. Conversely, opportunities to influence decisions within an organisation may result in enhanced intrinsic job satisfaction and contribute to heightened PA. As such, managers may derive considerable intrinsic job satisfaction from Influencing decisions.

PA was the only variable to be significantly associated with both task and performance dimensions. This indicated that managers with high PA were likely to perform well when Influencing and when undertaking Monitoring and Following roles, supporting the argument that managers with dispositional PA will outperform those who are unhappy (negative PA). This study supports Wright and Staw's (1999a) claim that a person's disposition is associated with performance. A person's genetic make-up, socialisation and life experiences all contribute to happiness (Lyubomirsky, King and Diener 2005). However, this position

should not be taken as evidence to support the Wright and Staw's contention that organisational conditions do not influence the happiness of managers. Managers' jobs can be designed to provide challenging and supportive work environments by providing performance feedback, rewarding high levels of contribution, offering training and development opportunities, and reducing workplace stressors (Burke and Cooper 2006).

In sum, the empirical findings in this research supported the happy-performing manager proposition. Managers with positive affective well-being were found to perform their jobs more effectively than those with low positive affect. This is especially the case when performing higher level roles and responsibilities involving complex decisions.

The next section explains why these findings are relevant to managers and the organisations they work in.

Implications for human resource management

This study is intended to contribute to the broader debate over what underpins human performance at work. A more sophisticated understanding of how affective well-being and intrinsic job satisfaction interact with managers' performance contributes to a better comprehension of the relationships underlying these constructs. Evidence of how these variables interact will be valuable in determining job designs and organisational level interventions to improve both positive affect and the performance of managers.

Factors that are associated with how managers sustain heightened levels of performance are identified in the findings from this study. Such an understanding has the potential to translate into improved managerial practices. These findings are also intended to progress the consideration on how work might be structured to improve managers' job performance. Results on the Partial Model identified some of the factors that indicate how managers' attain and sustain heightened levels of performance. These in turn either enhance positive, or exacerbate negative affective well-being and intrinsic job satisfaction.

Successful initiatives to improve managers' affective well-being and intrinsic job satisfaction depend on individual and situational contingencies. Contingency theory indicates that one general intervention is unlikely to be effective for all managers in all situations, whereas appropriate combinations of approaches are likely to result in longer term benefits. This provides support for a differential application of human resources, rather than a uniform application of management policies and procedures.

These issues need to be addressed if organisations are to operate effectively in an integrative manner. Inappropriate and unco-ordinated initiatives to improve managers' affective well-being, intrinsic job satisfaction and performance may result in costly and ineffectual outcomes for organisations. Therefore, the usual human resource policies focusing on trying to enforce control, conformity and standardisation across organisations are in conflict with the findings in this study.

These findings are likely to apply to managers in developed capitalist nations. Managers' jobs are likely to become even more complex in the future, and as a consequence become far more demanding. In this scenario, technological developments and movements to deregulate

lation are exacerbating the speed and spread of this trend. Shifts in the global marketplace are likely to have a significant impact on managers' personal operating styles and affective well-being, making contextual performance an area warranting particular attention.

All these developments point to the need for human resource policies and practices to determine which traits are most applicable to an organisation's culture and the required contextual and task performance. This study indicates the type of factors that can be used to help select managers who fit organisational performance requirements.

Future research

A contribution of this study was to provide support for the 'happy-performing managers proposition' by empirically linking managers' affective well-being, intrinsic job satisfaction with their contextual and task performance. Further empirical investigation is encouraged, in various cultures and contexts, to replicate and establish the veracity of this proposition. Further, Hosie (2011) has developed a Comprehensive Model of managers' job performance, with logical extensions to the Partial Model reported here, that is suitable for empirical verification. This model represents a more complete and sophisticated conceptualisation of predictors of managers' performance than any currently available in the literature.

Individual affective well-being could be assessed using standardised instruments and reported back to managers at regular intervals. Such measures can be compared with industry and organisations' norms to indicate disparate levels of affective well-being and intrinsic job satisfaction. For example, the ASSET (An Organizational Stress Screening Tool) has good convergent validity with existing indicators of mental illness (Johnson and Cooper 2003). ASSET is normed with 80 000 international organisations.

Conclusion

Research reported here articulates and expands on the debate into how indicators of affective well-being and intrinsic job satisfaction determine managers' contextual and task performance. In the process, the debate of the happiness-productivity theme, in the form of the 'happy-productive worker thesis', was progressed to suggest an emerging 'happy-performing managers proposition'. An empirical methodology was used to predict how certain trait and state indicators of affective well-being and intrinsic job satisfaction on task and contextual predict dimensions of managers' job performance.

Elements of affective well-being and intrinsic job satisfaction were identified that indicated how managers gain and sustain heightened levels of performance. Managers' jobs might be improved to enhance, or avoid decline in their affective well-being, intrinsic job satisfaction and performance. In turn, the information garnered from this study helps to explain the process of upward and downward spirals of managerial effectiveness, whereby positive or negative affective well-being and intrinsic job satisfaction lead to increased or reduced performance. These issues need to be addressed if organisations are to operate effectively, in an integrative manner.

As global market forces become more pervasive, optimising the so-called hard and soft human resource management strategies is likely to become more important to enhancing managerial health, performance, and organisational prosperity. This position is predicated on the assumption that improved affective well-being and intrinsic job satisfaction may result in improved managerial performance, which will eventually result in increased organisational productivity. When considered holistically, the use of related affect in organisational research can enhance our understanding of the relationships between affective outcomes and aspects of managers' performance. Enhanced individual happiness and performance of managers may result in increased benefits, reduced enterprises costs, and ultimately result in more productive organisational outcomes.

Peter Hosie (PhD) is the Business Capstone Unit co-ordinator at Curtin Business School, Curtin University, Perth, Western Australia.

Michael Willemyns (PhD) is an associate professor in management and with the Faculty of Business and Management at the University of Wollongong in Dubai.

Peter Sevastos (PhD) is a university associate with the School of Psychology, Curtin University, Perth, Western Australia.

References

- Argyle M (2001) *The psychology of happiness*. Taylor & Francis Books Ltd, London.
- Argyle M and M Martin (1991) The psychological causes of happiness. In F Stack, M Argyle and N Schwarz (eds) *Subjective well-being: An interdisciplinary perspective*, 119–139. Pergamon Press, New York.
- Bagnall D (2004) Science of happiness: The secret of happiness is the holy grail of the new millennium. *The Bulletin* 15 December, A6.
- Bandura A (1996) *Self-efficacy: The exercise of control*. Freeman, New York.
- Barnard C (1938) *The functions of the executive*. Harvard University Press, Cambridge, MA.
- Barrick MR and MK Mount (1993) Autonomy as a moderator of the relationships between the big five personality dimensions and job performance. *Journal of Applied Psychology* 78(1), 111–118.
- Barsade SG, AP Brief and SE Spataro (2003) The affective revolution in organizational behavior: The emergence of a paradigm. In J Greenberg (ed) *Organizational behavior: The state of the science* 3–52. Lawrence Erlbaum Associates, Inc., Hillsdale, NJ.
- Borman WC and DH Brush (1993) More progress towards taxonomy of managerial performance requirements. *Human Performance* 6(1), 1–21.
- Borman WC and SJ Motowidlo (1993) Expanding the criterion domain to include elements of contextual performance. In N Schmitt, WC Borman and Associates (eds) *Personnel selection in organizations*, 71–98. Jossey-Bass, San Francisco, CA.
- Borman WC and SJ Motowidlo (1997) Task performance and contextual performance: The meaning for personnel selection research. *Human Performance* 10(2), 99–109.
- Bradburn NM (1969) *The structure of psychological well-being*. Aldine, Chicago, IL.

- Brief AP and HM Weiss (2002) Organizational behavior: Affect at work. *Annual Review of Psychology* 53, 29–307.
- Bruni L (2005) *A history of happiness in economics*. Routledge, London.
- Burke RJ and CL Cooper (2006) *The human resources revolution*. Elsevier, London.
- Cialdini RB (1993) *Influence: The psychology of persuasion*. Morrow, New York.
- Clark A, A Oswald and PB Warr (1996) Is job satisfaction U-shaped in age? *Journal of Occupational and Organizational Psychology* 69(1), 57–81.
- Cook J, SJ Hepworth, TD Wall and PB Warr (1981) *A compendium and review of 249 work review measures and their use*. Academic Press, London.
- Côté S (1999) Affect and performance in organizational settings. *Current Directions in Psychological Science* 8(2), 65–68.
- Coyle-Shapiro J, I Kessler and J Purcell (2004) Reciprocity or ‘it’s my job’: Exploring organizationally directed citizenship behavior in a National Health Service Setting. *Journal of Management Studies* 41(1), 85–106.
- Cronbach LJ (1984) *Essentials of psychological testing*, 4th edn. Harper & Row, New York.
- Cropanzano R, K James and MA Konovsky (1993) Dispositional affectivity as a predictor of work attitudes and job performance. *Journal of Organizational Behavior* 14(6), 595–606.
- Cropanzano RS and TA Wright (1999) A five-year study of the relationship between well-being and performance. *Journal of Consulting Psychology* 51, 252–265.
- Cropanzano RS and TA Wright (2001) When a ‘happy’ worker is really a ‘productive’ worker: A review and further refinements of the happy-productive worker thesis. *Consulting Psychology Journal* 53(3), 182–199.
- Delbridge A, JRL Bernard, D Blair, P Peters and S Butler (eds) (1996) *The Macquarie dictionary*. Revised, 3rd edn. The Macquarie Library, Sydney, NSW.
- Domeyko M (1996) *Absolute happiness: The way to a life of complete fulfilment*. Hay House, Alexandria, NSW.
- Faragher EB, M Cass and CL Cooper (2005) The relationship between job satisfaction and health: A meta-analysis. *Occupational and Environmental Medicine* 62, 105–112.
- Fisher CD (1980) On the dubious wisdom of expecting job satisfaction to correlate with performance. *Academy of Management Executive* 6, 607–612.
- Fisher CD (2003) Why do lay people believe that satisfaction and performance are correlated? Possible sources of a commonsense theory. *Journal of Organizational Behavior* 24, 753–777.
- Fisher VE and JV Hanna (1931) *The dissatisfied worker*. Macmillan, New York.
- George JM (1996) Trait and state affect. In K Murphy (ed) *Individual differences and behavior in organizations*, 145–171. Jossey-Bass, San Francisco, CA.
- George JM and AP Brief (1996) Motivational agendas in the workplace: The effects of feelings on focus of attention and work motivation. *Research in Organizational Behavior* 18, 75–109.
- Hair JF, RE Anderson, RL Tatham and WC Black (1995) *Multivariate data analysis with readings*. Maxwell Macmillan International., New York.
- Haybron DM (2003) What do we want from a theory of happiness? *Metaphilosophy* 34(3), 305–329.
- Hersey R (1932) *Worker’s emotions in the shop and home: A study of individual workers from the psychological and physiological standpoint*. University of Pennsylvania Press, Philadelphia, PA.
- Herzberg F, B Mausner and B Snyderman (1959) *The motivation to work*. Wiley, New York.
- Hoppock R (1935) *Job satisfaction*. Harper, New York.

- Hosie P (2011) A model of predictors of managers performance. *Journal of Practicing Managers* 1, 10–20.
- Hosie PJ, PP Sevastos and CL Cooper (2006) *Happy-performing managers: The impact of affective wellbeing and intrinsic job satisfaction in the workplace*. New Horizons in Management, ed. CL Cooper. Edgar Elgar, Cheltenham, UK and Northampton, MA.
- Ilies R and TA Judge (2003) On the heritability of job satisfaction: The mediating role of personality. *Journal of Applied Psychology* 88, 750–759.
- Johnson S and C Cooper (2003) The construct validity of the ASSET stress measure. *Stress and Health* 19, 181–185.
- Judge TA, CJ Thoresen, JE Bono and GK Patton (2001) The job satisfaction-job performance relationship: A qualitative and quantitative review. *Psychological Bulletin* 127(3), 376–407.
- Katzell RA and DE Thompson (1995) Work motivation: Theory and practice. In DA Kolb, JS Osland and IM Rubin (eds) *The organizational behavior reader*, 110–114. Prentice-Hall, Englewood Cliffs, NJ.
- King SP and L Peter (eds) (1993) *Economic rationalism: Dead end or way forward?* Allen & Unwin, St Leonards, NSW.
- Konovsky MA and DW Organ (1996) Dispositional and contextual determinants of organisational citizenship behaviour. *Journal of Organizational Behavior* 17(3), 253–266.
- Kornhauser AW and AA Sharp (1932) Employee attitudes: Suggestions from a study in a factory. *Personnel Journal* 10, 393–404.
- Lawler EE and LW Porter (1967) The effects of performance on job satisfaction. *Industrial Relations* 7, 20–28.
- Layard R (2005) *Happiness: Lessons from a new science*. Allen Lane, London.
- Ledford GE (1999) Happiness and productivity revisited. *Journal of Organizational Behavior* 20(1), 31–34.
- Locke EA (1976) The nature and causes of job satisfaction. In MD Dunnette (ed) *Handbook of industrial and organizational psychology*, 1297–1349. Rand McNally, Chicago, IL.
- Lucas RE and E Diener (2003) The happy worker hypothesis about the role of positive affect in worker productivity. In MR Barrick and AM Ryan (eds) *Personality and work: Reconsidering the role of personality in organizations*, 30–59. Jossey-Bass, San Francisco, CA.
- Lyubomirsky S, L King and E Diener (2005) The benefits of frequent positive affect: Does happiness lead to success? *Psychological Bulletin* 131(6), 803–855.
- Mintzberg H (1980) *The nature of managerial work*. Prentice-Hall, Englewood Cliffs, NJ.
- Mintzberg H (2004) *Managers not MBAs: A hard look at the soft practice of managing and management development*. Berrett-Koehler, San Francisco, CA.
- Motowidlo SJ, WC Borman and MJ Schmit (1997) A theory of individual differences in task and contextual performance. *Human Performance* 10(2), 71–83.
- Organ DW and A Lingl (1995) Personality, satisfaction, and organisational citizenship behaviour. *Journal of Social Psychology* 135(3), 339–350.
- Organ DW and J Paine (1999) A new kind of performance for industrial and organizational psychology: Recent contributions to the study of organizational citizenship behavior. In CL Cooper and IT Robertson (eds) *International review of industrial and organizational psychology*, 338–368. Wiley, Chichester, UK, and New York.
- Organ DW and K Ryan (1995) A meta-analytic review of attitudinal and dispositional predictors of organizational citizenship behavior. *Personnel Psychology* 48(4), 775–802.

- Oshagbemi T (1991) Overall job satisfaction: How good are single vs. multiple item measures? *Journal of Managerial Psychology* 14, 388–403.
- Perrow C (1986) *Complex organizations: A critical essay*, 3rd edn. Random House, New York.
- Podsakoff PM, SB MacKenzie, RH Morman and R Fetter (1990) Transformational leader behaviors and their effects on followers trust in leader, satisfaction, and organizational citizenship behavior. *Leadership Quarterly* 1(2), 107–142.
- Quinn RE, SR Faerman, MP Thompson and MR McGrath (1996) *Becoming a master manager: A competency framework*, 2nd edn. Wiley, New York.
- Roethlisberger FJ and WJ Dickson (1939) *Management and the worker*. Harvard University Press, Cambridge, MA.
- Russell JA (1980) A circumplex model of affect. *Journal of Personality and Social Psychology* 39, 1161–1178.
- Russell JA and L Feldman Barrett (1999) Core affect, prototypical emotional episodes, and other things called emotion: Dissecting the elephant. *Journal of Personality and Social Psychology* 76, 805–819.
- Scott WR (1992) *Organizations: Rationale, natural, and open systems*, 3rd edn. Prentice Hall, Englewood Cliffs, NJ.
- Sevastos PP (1996) Job-related affective well-being and its relation to intrinsic job satisfaction. PhD thesis, Curtin University, Perth, Western Australia.
- Staw BM and SG Barsade (1993) Affect and managerial performance: A test of the sadder-but-wiser vs. happier-and-smarter hypotheses. *Administrative Science Quarterly* 38, 304–331.
- Ulrich D (1997) *Human resource champions*. Harvard University Press, Cambridge, MA.
- Warr PB (1986) A vitamin model of jobs and mental health. In G Debus and HW Schroiff (eds) *The psychology of work and organisation: Current trends and issues*, 157–164. Elsevier Science, Amsterdam.
- Warr PB (1987) *Work, unemployment and mental health*. Clarendon Press, Oxford.
- Warr PB (1990) The measurement of well-being and other aspects of mental health. *Journal of Occupational Psychology* 63(3), 193–210.
- Warr PB (1992) Age and occupational well-being. *Psychology and Aging* 7(1), 37–45.
- Warr PB (1994) A conceptual framework for the study of work and mental health: A healthier work environment. *Work & Stress* 8(2), 84–97.
- Warr PB (2007) *Work, happiness, and unhappiness*. Lawrence Erlbaum Associates, Mahwah, NJ.
- Watson D (1988) Intra-individual and inter-individual analyses of positive and negative affect: Their relation to health complaints, perceived stress and daily activities. *Journal of Personality and Social Psychology* 54, 1020–1030.
- Watson D and LA Clark (1984) Negative affectivity: The disposition to experience aversive emotional states. *Psychological Bulletin* 96(3), 465–490.
- Watson D, LA Clark and A Tellegen (1988) Development and validation of brief measures of positive and negative affect: The PANAS Scales. *Journal of Personality and Social Psychology* 54, 1063–1070.
- Watson D and A Tellegen (1985) Towards a consensual structure of mood. *Psychological Bulletin* 98(2), 219–235.
- Weiss HM and R Cropanzano (1996) Affective events theory: A theoretical discussion of the structure, causes and consequences of affective experiences at work. In BM Staw and LL Cummings (eds) *Research in organizational behavior: An annual series of analytical essays and critical reviews*, 1–74. JAI Press, Inc., Greenwich, CT.

- Wright TA (2005) The role of 'happiness' in organizational research: Past, present, and future directions. In PL Perrewe and DC Ganster (eds) *Research in occupational stress and well-being*, 221–264. JAI Press, Amsterdam.
- Wright TA, R Cropanzano and DG Bonnett (2007) The moderating role of employee positive well being on the relation between job satisfaction and performance. *Journal of Occupational Health Psychology* 12(2), 93–104.
- Wright TA, S Russell Cropanzano, PJ Denney and GL Moline (2002) When a happy worker is a productive worker: A preliminary examination of three models. *Canadian Journal of Behavioural Science* 34(3), 146–150.
- Wright TA and BM Staw (1999a) Affect and favorable work outcomes: Two longitudinal tests of the happy-productive worker thesis. *Journal of Organizational Behavior* 20(1), 1–23.
- Wright TA and BM Staw (1999b) Further thoughts on the happy-productive worker. *Journal of Organizational Behavior* 20(1), 31–34.